

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 17-05

CMI DISTRIBUTION, INC.,

COMPLAINANT,

v.

SERVICE BY AIR, INC., RADIANT CUSTOMS SERVICES INC. (FORMERLY KNOWN
AS SBA CONSOLIDATORS, INC.) and LAS FREIGHT SYSTEM LTD.

RESPONDENTS.

DEFICIENCIES IN SBA’S RESPONSES TO CMI’S PROPOSED FINDINGS OF FACT

The Presiding Judge’s Scheduling Order of October 30, 2017 provides that: “Each proposed finding of fact that an opposing party denies *shall be followed by an exact citation to evidence* that the opposing party contends will refute the evidence that the proposing party claims supports the proposed finding of fact.” (Emphasis supplied). SBA’s Responses to CMI’s Proposed Finding of Fact wholly disregards its obligations in this regard and instead offers blanket denials unsupported by specific citations in the record. Accordingly, all of CMI’s Proposed Statements of Fact should be deemed admitted.

SBA denies a large number of CMI’s proposed finding of facts simply by stating generic objections without citing any specific evidence to support the denial. Thus, for example, SBA frequently denies a proposed finding fact by simply stating “Mischaracterizes testimony.” Such a response does not comply with its obligation to provide an exact citation to evidence supporting its denial (or provide any explanation as to how the testimony is supposedly mischaracterized). SBA also in some instances simply states apparent disagreement with a

Proposed Statement of Fact but offers no evidentiary basis whatsoever for its denial. Thus, for example, in Proposed Statement of Fact No. 142, CMI proposed that:

In May of 2015, SBA informed CMI that it refused to release 15 containers in its possession until CMI paid \$267,000. Vega Dec. at ¶ 70. This amount was based on what SBA said was demurrage that had accrued on other containers that SBA was billing at a rate of \$300 per day. *Id.*; Exh A-16. RESPONSE: DENIED as to “15 containers” and the sum of “267,000.” Otherwise ADMITTED.

In other instances, SBA denies a proposed finding by simply referring to “Declaration of Edward Zasada” or “Jalowiecki Declaration” without any further citation. Thus, presumably, the Presiding Judge and CMI are required to review the entire Declaration to try and figure out what particular statement therein might be construed as supporting the denial. This problem is compounded by the fact that SBA often denies a proposed Finding of Fact by citing to the Declaration of Edward Zasada when nothing in the Zasada Declaration in any way appears to even relate to the proposed finding. Thus, when CMI offers specific exhibits and testimony reflecting exorbitant marks up of what SBA incorrectly characterizes as demurrage charges, SBA simply denies the Proposed Finding of Fact and states “Zasada Declaration” as support for the denial. *See, e.g.*, Response to Proposed Finding of Fact No. 126.

In addition to the improper denials asserted above, in repeated instances SBA objects to proposed findings of fact on the grounds that they constitute legal conclusions. These denials are often interjected even if the proposed finding of fact contains no legal conclusion whatsoever; instead they are asserted simply to avoid having to address an unpleasant fact. Thus, for example, in response to Proposed Finding of Fact No. 52, SBA denies the testimony of Bryan Tincher that LAS Freight and SBA split revenues including for the CMI shipments, on the grounds that it calls for a legal conclusion. Such a denial of a straightforward legal question has no legitimate basis.

Finally, in some instances when confronted with a fact that is not in legitimate dispute, SBA asserts a denial based upon unrelated facts. Thus, for example, when asked to admit that SBA invoiced CMI for “Air Freight” even though the goods were moving by ocean transportation, SBA denies the proposed finding on the grounds that “CMI was not confused.” See, e.g., Response to Proposed Finding of Fact No. 78. This denial is not only a *non sequitur*, it is without any basis in fact as the record is replete with evidence of CMI’s confusion as to the basis for the charges being assessed.¹

CMI breaks out SBA’s responses as follows:

Admitted: Proposed Findings of Fact Nos. 1-6, 9, 11, 34, 35, 46, 48, 59-63, 66, 68 (in part), (68 duplicated), 72, 73, 82 (admitted in part), 86, 87, 91, 99, 111-114, 121, 134-136, 139, 140, 142 (admitted in part) 144, 146, 148, 149 151.²

1. Denied by citing to unspecified portion of Zasada Declaration:

Proposed Finding of Fact No. 7 (seeks admission that CMI utilized UTI as an ocean transportation intermediary to transport goods from China to the United States beginning in 2013 to 2014. SBA objects to the proposed finding by generically citing the Zasada Declaration. Nothing in the Zasada Declaration, however, appears in any way to relate to this finding), 38, 65 (generically refers to Zasada deposition), 77 (denies that SBA billed CMI for air freight when container was actually transported by the Mediterranean Shipping Company – it does not appear that Zasada’s Declaration in any way addresses this fact), 100 (denies that SBA charges for detention are unjustified – Zasada Declaration does not appear to address this fact), 101 (denies

¹ The problem with SBA’s cryptic responses is evident in regard to Proposed Statements of Fact Nos. 70 and 71. The Proposed Statements of Fact No. 70 posits that SBA’s invoices were often misleading and inconsistent, and Proposed Statement of Fact No 71 states that SBA issued invoices to CMI for Air Freight even though virtually all of the goods at issue moved by ocean. SBA denied both Statements. It is unclear from the denials, however, whether SBA is contending that the goods actually did move by air or if SBA is simply stonewalling and its denials have no basis in fact.

² SBA did not respond to paragraph 109, thus it also should be deemed admitted.

that CMI was hindered in determining amount that it was overcharged because LAS Freight did not participate in proceeding and has not provided documents reflecting when containers at issue were “gated out” – Zasada Declaration does not appear to address this issue), 102 (denies that SBA was billing for return of VOCC containers during periods when containers had already been returned to the VOCC – Zasada Declaration does not appear to address the issue), 103, 104 (denies that CMI was assessed \$95,089 in demurrage charges when amount that could have been charged under MSC tariff was only \$29,600 – Zasada Declaration does not appear to address the issue), 107, 108, 109, 110, 115, 116, 117, 120, 123, 124, 125, 126 (denies that SBA received an invoice for storage in the amount of \$852 and invoiced CMI for storage in the amount of \$6,650 – Zasada Declaration does not appear to address this issue), 127 (denies that Tincher testified that mark up of 780% was appropriate – Zasada Declaration does not appear to address the issue), 128, 129 (denies that SBA marked up invoice by in excess of \$5,500 – Zasada Declaration does not appear to address the issue), 130 (numerous examples of mark ups of Freight Tech invoices – Zasada Declaration does not appear to address the issue), 131, 132 (generic reference to Zasada deposition testimony), 133 (generic reference to Zasada deposition testimony), 141 (denies that SBA marked up what was called demurrage from \$100 to \$300 per day – it does not appear that Zasada Declaration addresses the issue), 143 (denies that SBA charged for demurrage for periods when MSC’s automated container tracking system reflected that containers at issue had been returned – it does not appear that Zasada’s Declaration addresses the issue), 145, 147 (SBA denies that CMI had to pay in excess of \$267,000 to obtain release of containers on which no demurrage or other charges were outstanding – Zasada Declaration does not appear to address this issue), 152 (SBA denied amount CMI was

overcharged – it does not appear that Zasada Declaration addresses the issue), 153 (same), 154 (same).

2. Denied by citing to unspecified portion Jalowiecki Declaration:

Proposed Finding of Fact Nos. 12-28, 29 (denies that SBA bills of lading contained language reflected thereon – unclear on what basis Jalowiecki could have denied the language quoted or that SBA bills of lading issued by SBA identified CMI's supplier as the shipper), 30 (denies that SBA bills of lading had language clearly set forth thereon), 47, 74 (denies that SBA issued bill of lading to CMI indicating that goods were moving through locations where they were not actually transported); 76 (denies that SBA issued bills of lading to CMI indicating that the goods moved by air when bills of lading issued by LAA Freight indicated that the goods moved by ocean), 84.

3. Denied by Blanket Assertion that it Mischaracterizes Testimony or Exhibit:

Proposed Finding of Fact Nos. 14, 38, 42, 43, 44, 52, 67, 88, 89, 90, 94, 95, 106, 110, 115, 116, 117, 118, 119, 120, 122, 137, 138. The vast majority of these denials do not indicate in any fashion how the testimony is mischaracterized or where in the record one might go to find actual evidence of such a mischaracterization.

4. Denied on Grounds Unrelated to Proposed Statement of Fact:

Proposed Finding of Fact No. 71 (SBA denies that it issued invoices reflecting charges for Air Freight despite fact that goods moved by ocean because CMI “was not confused”), 78 (denies that CMI was incorrectly invoiced for airfreight and that SBA acknowledged its error and then invoiced CMI for demurrage because “CMI was not confused”), 79 (denies that SBA issued two separate invoices for airfreight because CMI was not confused).

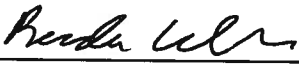
5. Legal Conclusion:

Proposed Finding of Fact Nos. 7, 8, 14, 15, 31 (denies testimony of Bryan Tincher that SBA assumed responsibility for delivery of CMI's cargo which responsibility remained in place until cargo was delivered to ultimate destination), 32 (denies that once CMI chose to have SBA transport the goods from China, CMI ceased having any control of the goods or their transportation), 36, 37, 39, 40 (denies testimony of Bryan Tincher that SBA was acting as Las Freight's business partner when LAS Freight issued bills of lading identifying CMI as shipper or consignee), 41 (denies testimony of SBA's 30(b)(6) witness that NVOCC can only charge what is reflected in NVOCC's tariff), 47, 49, 50 (denies that at all time CMI believed that if its goods were damaged in transit, SBA would be responsible for such damages), 52 (denies testimony of Bryan Tincher that LAS Freight and SBA split revenues including for the CMI shipments), 53 (LAS Freight was acting as SBA's agent in China and throughout the transportation at issue), 54, 55, 56 (denies Edward Zasada's testimony that he relied upon Bryan Tincher's expertise in regard to whether LAS Freight was acting as an NVOCC), 64, 80, 82, 83 (denies that LAS Freight does not have a detention rule or detention charges in its tariff because it is a legal conclusion), 85, 88 (denies Bryan Tincher's testimony that almost all of the demurrage charges assessed were invalid because none were for time periods when containers were in a carrier's facility awaiting customer pick up after free time had expired), 90 (denies Bryan Tincher's testimony that although SBA billed for and collected hundreds of thousands of dollars in demurrage charges from CMI, CMI did not actually owe any money for demurrage), 92, 93 (SBA made no effort to determine if its billing practices were consistent with LAS Freight or steamship line's tariff), 94, 95 (although SBA had no tariff and LAS Freight's tariff had no provision allowing it to charge, much less mark up for demurrage or detention charges, SBA marked up demurrage and detention charges), 96 (charges assessed by SBA are grossly inflated

and fraudulent), 97 (charges assessed could not accurately be described as demurrage charges), 98, 103 (denies dates when certain containers were gated out and gated in), 104, 105, 107, 108, 110, CMI was never provided an invoice from steamship line reflecting basis for charging CMI \$300 per day for container demurrage, 115 (CMI was billed well in excess of rates reflected in VOCC's tariff), 116, 117 (denied statement that SBA charged \$300 per day for demurrage when underlying charge was only \$100 per day as a legal conclusion).

For the reasons set forth above, all of CMI's Proposed Findings of Fact should be deemed admitted.

Dated: June 15, 2018

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CERTIFICATE OF SERVICE

I do hereby certify that a true and correct copy of the foregoing document was delivered to the following addressee at the address stated by electronic transmission, this 15th day of June 2018:

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